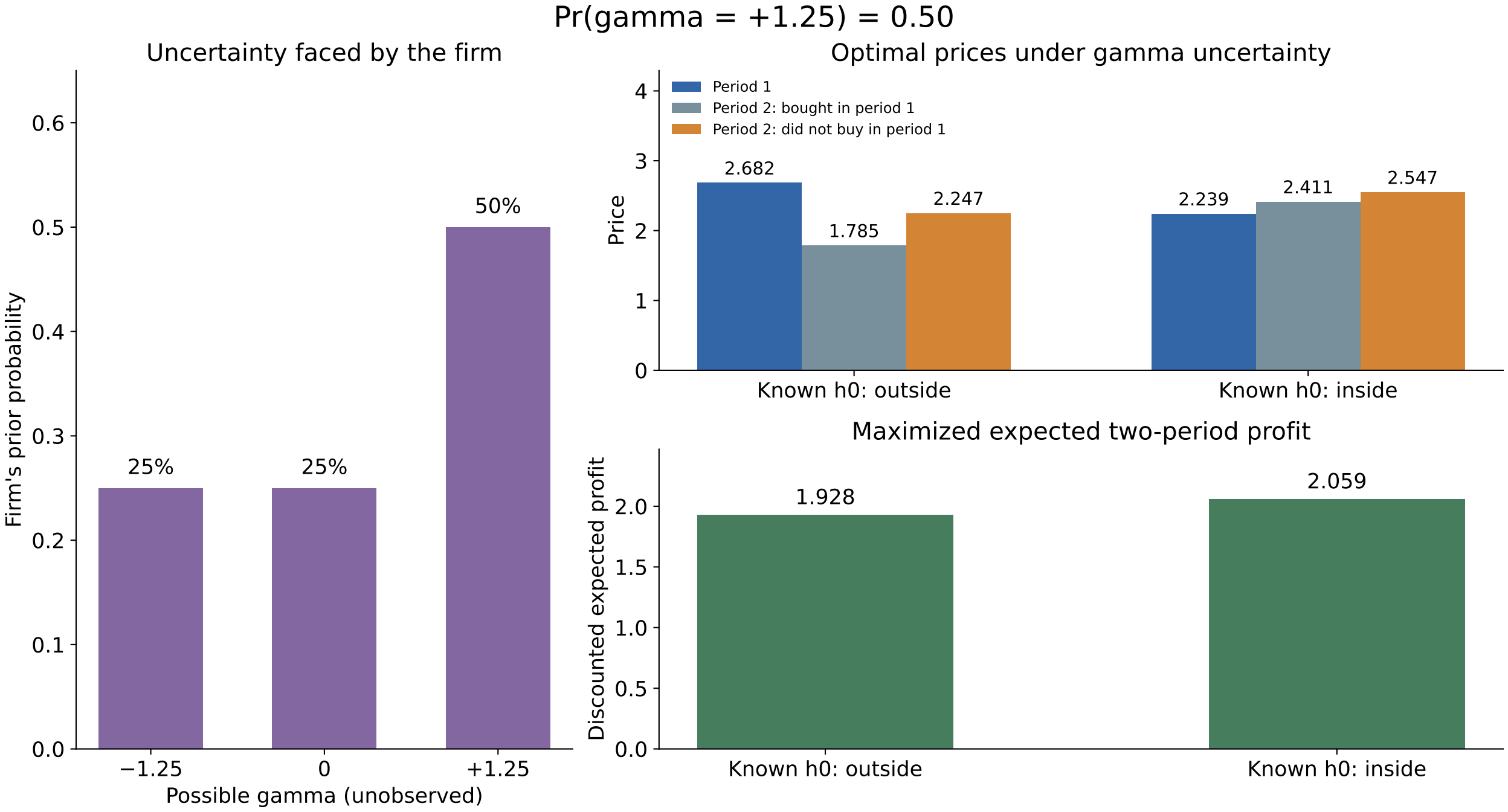
Pr(gamma = +1.25) = 0.50
Uncertainty faced by the firm
Firm's prior probability
0.0
0.1
0.2
0.3
0.4
0.5
0.6
25%
25%
50%
−1.25
0
+1.25
Possible gamma (unobserved)
Optimal prices under gamma uncertainty
Price
0
1
2
3
4
Period 1
Period 2: bought in period 1
Period 2: did not buy in period 1
2.682
1.785
2.247
2.239
2.411
2.547
Known h0: outside
Known h0: inside
Maximized expected two-period profit
Discounted expected profit
0.0
0.5
1.0
1.5
2.0
1.928
2.059
Known h0: outside
Known h0: inside